

DATA AND METHODOLOGY

All monthly data begins in January 1973, unless otherwise noted, and includes interest and dividends. For equities, we use the MSCI (Morgan Stanley Capital International) US and MSCI EAFE (Europe, Australia, and Far East) indexes. These are free-float-adjusted market capitalization weightings of large and mid-cap stocks. For fixed income, we use the Barclays Capital Long U.S. Treasury, Intermediate U.S. Treasury, U.S. Credit, U.S. High Yield Corporate, U.S. Government & Credit, and U.S. Aggregate Bond indexes. The beginning date of the high-yield index is July 1, 1983, and the start date of the aggregate bond index is January 1, 1976. For dates prior to January 1976, we substitute the Government & Credit index for the Aggregate Bond index, since they track one another closely. For Treasury bills, we use the monthly returns on 90-day U.S. Treasury bill holdings. For real assets, we use the FTSE NAREIT U.S. Real Estate index, the Standard & Poor's GSCI (formally Goldman Sachs Commodity Index), and monthly gold returns based on the month-end closing London PM gold fix.

Although there are more complicated methods for determining absolute momentum (Baltas and Kosowski 2012), our strategy simply defines absolute momentum as being positive when the excess return (asset return less the Treasury bill return) over the formation (look-back) period is positive. We hold a long position in our selected assets during these times. When absolute momentum turns negative (i.e., an asset's excess return turns negative), our baseline strategy is to exit the asset and switch into 90-day U.S. Treasury bills until absolute momentum again becomes positive. Treasury bills are a safe harbor for us during times of market stress.

We reevaluate and adjust positions monthly. The number of transactions per year into or out of Treasury bills ranges from a low of 0.33 for REITs to a high of 1.08 for high-yield bonds. We deduct 20 basis points for transaction costs for each switch into or out of Treasury bills.¹ Maximum drawdown is the greatest peak-to-valley equity erosion on a month-end basis.

FORMATION PERIOD